
Audit Delay TL/DR list.

moran.alan@iowacityschools.org Alan Moran

Tuesday, October 8, 2024 at 4:48:03 PM Central Daylight Time

To: degner.matt@iowacityschools.org Matt Degner, ramey.chace@iowacityschools.org Chace Ramey, kurth.adam@iowacityschools.org Adam Kurth

This is a somewhat consolidated list of major bullet points holding this up.

- The Financial Statements were not properly prepared
 - As a starting point, none of the balance sheets were in balance, and the change in fund balance did not roll forward from any of the corresponding income statements to their respective balance sheets.
- Errors in workpapers / accounting
 - Several workpapers had been completed, but not tied to the ledger accounts. Since these impact footnotes or allocations to the financial presentation, they were impacting the ability to tie out the balances.
 - We also noted accounts where income and expense activity were treated like balance sheet accounts. When completing the subsequent year workpaper, the ending activity was used in lieu of the base expenditure amounts prior to allocations.
 - Fundamental errors were also noted. Activity had been posted directly to fund balances, resulting in an inability to tie out the financial reports.
- Poor Documentation / Organization
 - Audit files and workpapers are not categorized or stored in a meaningful way. Naming conventions also make it difficult to determine their impact on presentation.
 - Identifying allocations or reporting reconciling items has been slowed as a result.
 - Account reconciliations are often just ledger activity, and contain no actual reconciling detail, if the reconciliations were there at all.
 - Tracing is often difficult, since values are hard coded, and workpapers do not contain references to their source data, nor are they stored in a fashion to associate audit evidence with workpaper or report detail.
 - Workpapers are not sorted into archival and current versions, making it difficult to determine which items should tie to the reports and footnotes.

Fundamentally, we are just seeing things in the preparation of these reports that keep requiring correction so that we can get the reports to simply balance.

I have made considerable progress on these reports, where they at least balance. It will take potentially three or four more weeks (With the IASBO conference next week I'll lose 2.5 days) to get these reports in a state where the auditors can finalize their review. Pragmatically I would not expect a draft of the report until December or January given we are likely not a high priority client right now with the delays on getting these reports, and that is assuming the final reports don't require any scope change or additional testing. At this point I have not posted any journal entries so in THEORY it should be fine.

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To: moran.alan@iowacityschools.org Alan Moran

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Thanks, Alan.

Cheers,

Adam Kurth

Chief Financial Officer

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